

# **Merchant networks and international markets on the Silk Roads across ancient and contemporary times**

**Focus Area: Islamic Caliphates and the Middle Eastern Silk Road:  
From Baghdad to Dubai**

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# **Islamic Caliphates and the Middle Eastern Silk Road: From Baghdad to Dubai**

## **Introduction**

The Silk Road was a commercial path as well as a cultural and political platform. The Middle East played the key role in this system, as it was the linking point of empires, religions, and economies. During the Abbasid rule, Baghdad was not only a trading city; it represented a systemic order where religion, law and politics mutually strengthened each other to render trade legible and governable. According to Black (2011), "Bagdad was the greatest hub of trade of Islamic world linking the Mediterranean with India and China". This expression is more than an indicator of wealth; it indicates how the Abbasids utilized the trade to grant themselves political legitimacy, as well as to influence the social structure to their own benefit. Gulf cities such as Dubai millennia later show a comparable geographic benefit, yet the rationale that supports the centrality in this scenario differs where Baghdad oriented exchange in sacral law and state power, the majorities in Dubai orient the exchange in secular regulation, finance, and branded openness.

This essay follows the Abbasids pattern of organizing trade by the use of administration, ideology, law, and intellectual trade, and then contrasts that pattern with how modern Dubai reinvigorates the same crossroads by secular and market-driven principles.

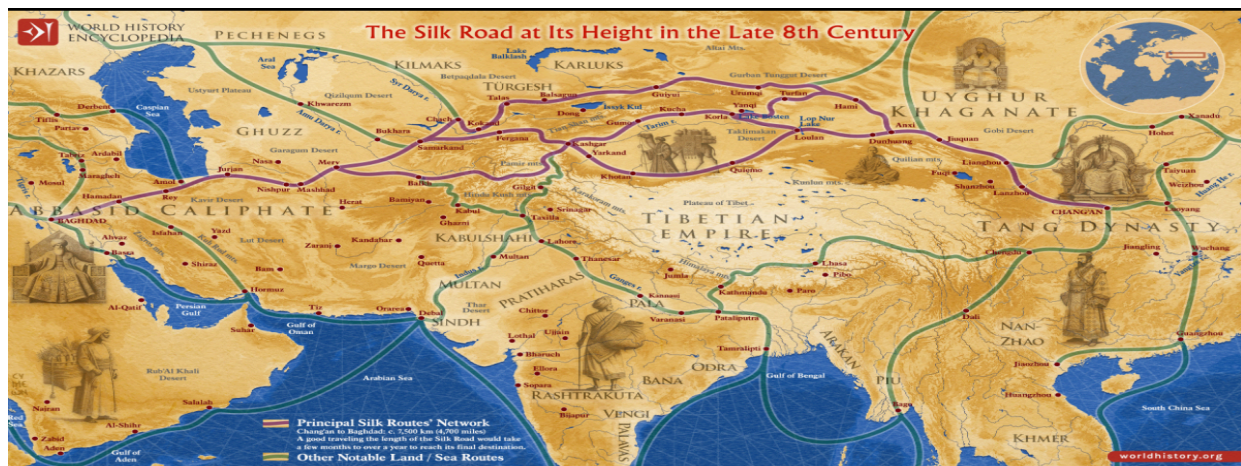
## **Administrative Structures and Trade under the Abbasids**

The establishment of Baghdad in 762 CE was not accidental; the city sat on the intersection of caravan and river routes, so it was convenient as a clearinghouse of goods and information. Black (2011) notes that the city not only became the seat of the caliph but it also became the largest entrepot of the Islamic world, connecting the Mediterranean with India and China. The above observation indicates that the Abbasids transformed geography into political capital, that is having dominion over the central location equated to the distribution of power on the interconnected areas.

The markets of the state were organized by the officials like the muhtasib who established the measures of weight, quality and fair practice; the Persian bureaucrats controlled the taxation and fiscal flows. Hodgson (1974) points out that the unity of Islam brought some form of moral order to the commercial existence of the Middle East. Combined, these pieces of information indicate why the Abbasid trade was not laissez-faire, legal and administrative practices established predictable frameworks of exchange, and long-distance merchants could depend on cross-cultural and inter-spatial exchanges. Administration and law were, in brief, means of rendering commerce trustworthy and hence politically useful.

Yet the same processes that stabilized the market reproduced inequality. It was possible to trade as a non-Muslim merchant, and doing so successfully, but legal differences, such as the *jizya*, and social classes placed these non-Muslims in a subordinate status. “Islamic trade consisted of moral unity and practical accommodations to diversity” (Abu-Lughod, 1989). Such a mix was significant; it facilitated plural participation without shifting the normative center to non-Muslim. The practical impact was to be incorporated at conditional terms - networks were broadened, but power was unequal.

The Abbasid system demonstrates intertwining of trade, law, and politics. Administration stabilized long-distance exchange and strengthened the legitimacy of the caliphate, and inequality guaranteed structural advantage among Muslim elites. The commercial power of Baghdad thus was based on a two-fold rationale; the openness to expand the networks, and the hierarchy to maintain the power. I believe that the Abbasid system was successful because it was an open system (required to trade) and a controlling system (required to maintain political order).



*Fig 1: Map of the Silk Road at its height in the late 8th century, with Baghdad at the heart of Eurasian trade networks.*

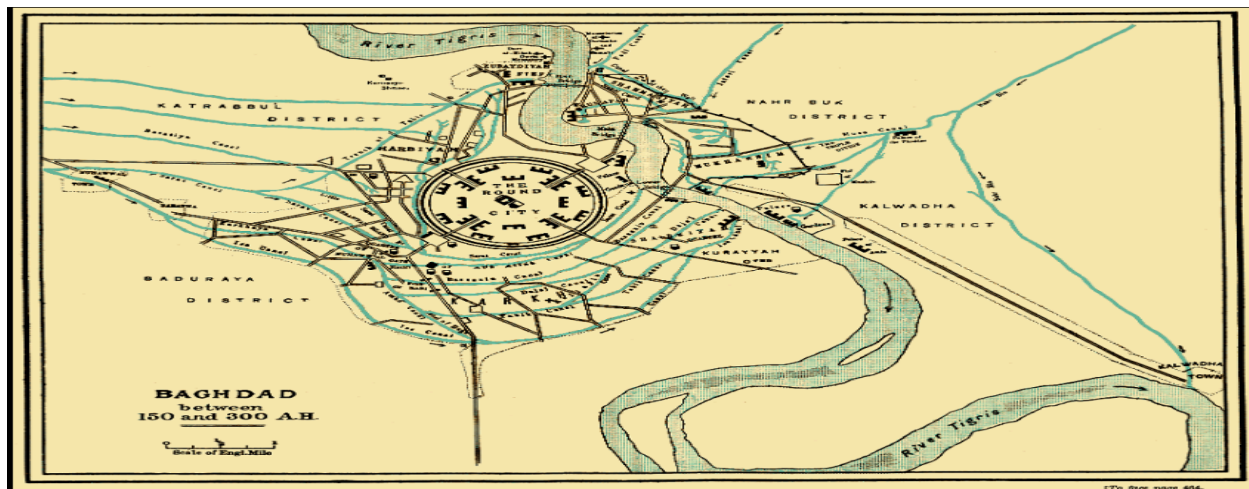
## Political Ideology, Religion, and Commerce

Market life was influenced by the Islamic law. According to Black (2011), the Shari'a was created to identify morals, law, religious faith and ritual, marriage, trade and society. This implies that trade was not just measured by profit, but by moral categories, some contracts or types of speculation were suspect, whereas risk-sharing instruments (such as *qirad*/*mudaraba*) were promoted. These rules accomplished two things simultaneously they constrained the abusive practices and they established a common moral language that merchants could depend on over extensive distances. This was a religious-legal formulation that enabled different communities, such as Muslim, Jewish, Christian, Indian, to exist within a common space, yet under an Islamic normative umbrella. The argument by Abu-Lughod concerning local autonomy and overall unity

indicates that local trading can live, but be confined within a unitary, legitimizing order. The outcome was functioning pluralism markets were differentiated in terms of personnel and goods, but terms of trust and dispute settlement were dictated by the centre.

Simultaneously, the legal structure had hierarchy. Differences in taxation, disability due to law and the social prestige accompanying the Muslim identity ensured that trade was not closed but unequal. This matters as it restructures cosmopolitanism the markets of Baghdad were cosmopolitan in engagement but stratified in terms of position. The hierarchical cosmopolitanism enabled the Abbasids to enjoy the foreign expertise, and retain political and religious supremacy.

The Abbasid strategy shows us the collaboration of ideology and trade. Shari unified markets and made them stable and predictable, yet it also allowed trading in the establishment of further distinctions that perpetuated the Muslim power. The economic order of Baghdad was therefore inclusive and exclusionary at the same time; it was welcoming, whilst strengthening dominance structures.



*Fig 2: Baghdad at the confluence of caravan and river routes, reflecting its centrality in the Abbasid trade system.*

## **Knowledge Networks and the Intellectual Silk Road**

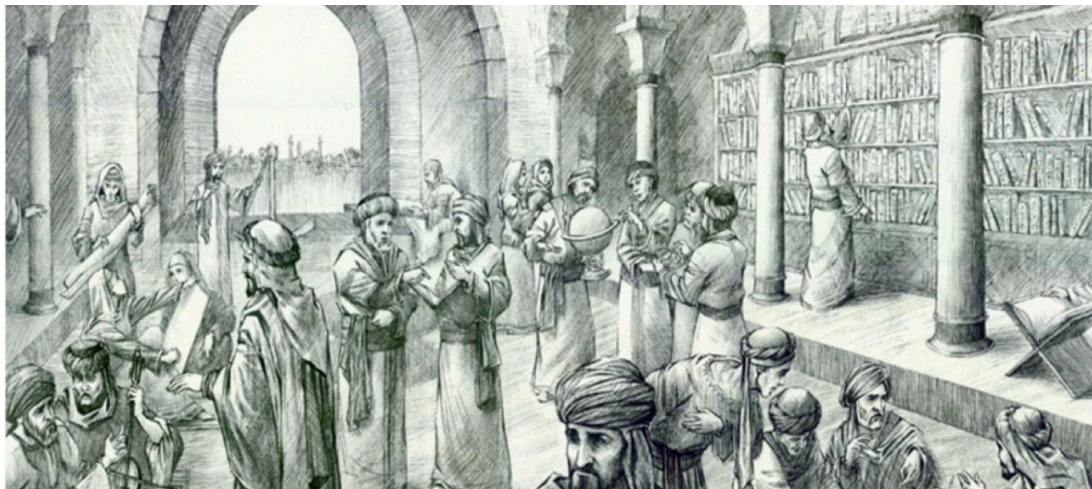
As important an exchange as the exchange of goods was the exchange of ideas in Baghdad. The Bayt al-Hikma (House of Wisdom) accumulated the Greek, Persian and India texts and introduced them into the Arabic intellectual life. According to Hodgson (1974), the success of Islam was that it was able to unite spiritual, political and intellectual orders. Such unification implied that translation and scholarship were a part of statecraft codifying knowledge as a patron of the caliphate reinforced the perception of the Abbasid polity as a universal seat of study.

Merchants and ports did not just transit merchandise, but books, scholars and pedagogical networks. According to Alpers (2013) much of the Indian Ocean had been incorporated into

Muslim merchant networks by the later medieval period, and the same networks transmitted teachers, texts and intellectual influence. Its practical implication is more obvious; the networks between economies and intellectuals were strengthened, and Baghdad had a broader cultural scope.

But intellectual exchange was intermediated. The aspects that determined the prominence and interpretation of the works were patronage, language (Arabic) and institutional gatekeeping. Translation did not imply neutral transmission texts were changed to be adapted into Islamic patterns and the concerns of the elite scholars. In this way, the intellectual Silk Road opened vistas, and at the same time cemented an Abbasid vision of knowledge - a narrow cosmopolitanism.

The intellectual networks of Baghdad are following the same pattern as commercial networks. There was an importation of knowledge, sharing of knowledge and adaptation of knowledge however, it was always filtered through institutions that did not remove the power of the caliphate. The House of Wisdom was a representation of worldwide openness, but it was also the ability to determine what ideas were permissible. In my view, The House of Wisdom demonstrates to us that knowledge can be politicized. Translation transformed Baghdad into a cosmopolitan, the judge of what was meant by knowledge that was universal.



*Fig 3: Baghdad at the confluence of caravan and river routes, reflecting its centrality in the Abbasid trade system.*

### **From Sacred Trade to Global Capitalism**

Geography still matters. According to Alpers (2013), the Gulf has remained the fruit of Islamic trade due to the maritime geography that is currently defining the Gulf as a crucial route in global trade. It was an opportunity given by geography but it was political and institutional decisions that converted it into advantage. Geography gained its significance under the Abbasids



by means of sacred law and state control, in Dubai, by financial control and the global connectedness.

Dubai is taking advantage of its location by having free zones, airports and container ports to facilitate logistics and capital attraction. This is in contrast to the Abbasid model inclusion is no longer based upon shared law or ethics, but upon involvement in international finance. It presents diversity but is stratified in participation with high value investors and professionals having privileges and large migrant work forces working under limited conditions.

The difference between Baghdad and the framing of legitimacy is reflected. The Shari'a moralized Abbasid markets, and the efficiency, branding, and international credibility of Dubai markets legitimize their markets. Trade was employed by both to consolidate power, however, the values that supported that power have changed.

The role of Dubai demonstrates the continuity in terms of the geography and discontinuity in terms of ideology. The city adopts Baghdad as a crossroads but recreates its validity by means of secular capitalism. Trade has always been at the heart of political power, however the discourse with which the power is legitimized has shifted towards the sacred order and has evolved into a discourse about financial performance. I believe the model of inclusion in Dubai demonstrates that inclusion can resemble Abbasid openness, but in a different way, with different rules one moral, the other contractual and market.

## **Conclusion**

The Baghdad to Dubai migration demonstrates the continuity of geo-location and the difference in values of the centrality of the same geo-location. The model of Baghdad united trade with law, religion and state, which created a stable yet hierarchical cosmopolitanism. Dubai maintains the centrality of the region but reinvents it in the form of finance, regulation and branding; its openness is constructed to receive capital flows as opposed to a moral-legal order. "Islamic commerce was tied together not only by merchandise but also by ethical and cultural order"(Abu-Lughod ,1989). In most modern contexts, that ethic is substituted by market histories and rules.

As in both Baghdad and Dubai, trade is never neutral. It is never associated with power structures which determine the beneficiaries and on what conditions. The Silk Road, ancient or modern, is not, however, a passage of merchandise only, but also a platform of authority projection and social order formation.

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